

China's retaliation to Trump tariffs adds fuel to a global trade war

The **slapping** of a 34 per cent **duty** by China on all goods imported from the US **is striking** for how fast it came — just two days after US President Donald Trump, on April 2, **unveiled** his **so-called reciprocal tariff** policy. While that policy **supposedly addresses** what the US President **terms** as “**asymmetries** in trade relationships” with other countries, it follows and **reinforces** his earlier actions **explicitly** aimed at China. Trump had, in early February, imposed a 10 per cent **blanket** additional tariff on Chinese imports, which was doubled to 20 per cent a month later. **Adding** the latest 34 per cent reciprocal tariff **takes** the total duty **on** Chinese goods entering the US to 54 per cent. Chinese retaliation was **swift**, even as the world was **digesting** Trump's country-specific reciprocal tariffs.

That China **is at** Trump's **receiving end** is also **apparent** from the high tariffs (46-49 per cent) he has **levied on** Vietnam, Laos and Cambodia, besides Indonesia (32 per cent), Bangladesh (37 per cent) and Sri Lanka (44 per cent). These are countries where Chinese firms have established manufacturing **facilities**, for **leveraging** their lower labour costs as well as **rerouting** exports to **circumvent** US tariffs. **A lot of** the increased exports from Vietnam to the US **have** come from Chinese companies, which had relocated production there after Trump hit China with tariffs during his first term in 2018. This time around, he hasn't stopped at China, but has targeted Beijing's extended supply chain and made it **virtually** impossible to **get around** his tariffs by using other countries as **conduits**. This has added fuel to a global trade war, whose **belligerents** happen to be the world's top two **economies**.

Things could **worsen** if China were to **make up** for the loss of its merchandise exports to the US (\$438.9 billion out of a total \$3.6 trillion in 2024) through currency **devaluation** or **dumping** in other markets. **Others** too — be it the export-dependent southeast Asian economies or even the US, **shut out** of the Chinese market — **may** adopt similar **beggar-thy-neighbour measures**. One hopes better sense will **prevail** and all sides — especially Trump and Chinese president Xi Jinping — sit at **the negotiating table** soon. For India, however, hope cannot be a strategy. It should definitely not be a party to any trade war or **revert to protectionism**. **On the contrary**, **rationalising and simplifying** its import tariffs — the various additional customs duties and **cesses** must go — **would** attract global companies to make in India through competitive sourcing of intermediate inputs and adding value. In an unstable world, India can offer itself as a **beacon** of purposive reform, **macroeconomic prudence** and policy stability.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'. [Practice Exercise]
- **Belligerent** (noun) – (used about a country) fighting a war (देश) युद्धरत

Vocabulary

1. **Retaliation** (noun) – revenge, reprisal, payback, counterattack, retribution
प्रतिशोध
2. **Tariff** (noun) – duty, tax, levy, import charge, customs शुल्क
3. **Add fuel to the fire** (phrase) – worsen, intensify, escalate, aggravate, inflame
स्थिति को और बिगाड़ना
4. **Slapping** (noun) – imposition, enforcement, application, placing, charging
थोपना (कर लगाना)
5. **Duty** (noun) – tariff, levy, tax, impost, surcharge कर / शुल्क
6. **Strike** (verb) – hit, target, attack, impact, affect प्रभावित करना
7. **Unveil** (verb) – reveal, announce, disclose, introduce, present उद्घाटन करना
8. **So-called** (adjective) – supposed, alleged, self-styled, nominal, claimed तथाकथित
9. **Reciprocal tariff** (noun) – a tax or trade restriction that one country places on another in response to similar actions taken by that country. प्रतिशोधात्मक शुल्क
10. **Supposedly** (adverb) – allegedly, reportedly, apparently, seemingly, purportedly कथित रूप से
11. **Address** (verb) – deal with, tackle, handle, confront, respond to समाधान करना
12. **Term** (verb) – label, name, call, define, describe कहना
13. **Asymmetry** (noun) – imbalance, inequality, disproportion, unevenness, lack of parity
असंतुलन
14. **Reinforce** (verb) – strengthen, support, bolster, confirm, intensify सुदृढ़ करना
15. **Explicitly** (adverb) – clearly, plainly, directly, overtly, unmistakably स्पष्ट रूप से
16. **Blanket** (adjective) – comprehensive, all-encompassing, total, sweeping, universal समग्र
17. **Take on** (phrasal verb) – challenge, confront, oppose, target, tackle चुनौती देना
18. **Swift** (adjective) – quick, rapid, fast, prompt, immediate तीव्र / तेज
19. **Digest** (verb) – absorb, comprehend, process, understand, grasp समझना / पचाना
20. **Be at the receiving end** (phrase) – suffer from, be targeted, face the consequences, be affected, be hit by झेलना / का शिकार होना

21. **Apparent** (adjective) – obvious, clear, evident, visible, noticeable स्पष्ट
22. **Levy** (on) (verb) – impose, charge, collect, enforce, apply कर लगाना
23. **Facilities** (noun) – a service, building, piece of equipment, etc. that makes it possible to do something संयंत्र
24. **Leverage** (verb) – exploit, use, utilize, capitalize on, take advantage of लाभ उठाना
25. **Reroute** (verb) – redirect, divert, transfer, shift, change course मार्ग बदलना
26. **Circumvent** (verb) – bypass, avoid, sidestep, evade, dodge बच निकलना
27. **Virtually** (adverb) – almost, nearly, effectively, essentially, practically लगभग
28. **Get around** (phrasal verb) – avoid, bypass, sidestep, evade, find a way बच निकलना
29. **Conduit** (noun) – channel, pathway, route, medium, pipeline माध्यम
30. **Economies** (noun) – Countries in terms of GDP अर्थव्यवस्थाएं
31. **Worsen** (verb) – deteriorate, intensify, aggravate, decline, escalate बिगड़ना
32. **Make up** (phrasal verb) – compensate, cover, recoup, offset, replace भरपाई करना
33. **Devaluation** (noun) – currency depreciation, markdown, deflation, reduction in value, weakening अवमूल्यन
34. **Dumping** (noun) – overselling, price undercutting, mass disposal, aggressive pricing, export flooding कम कीमत पर माल बेचना
35. **Shut out** (phrasal verb) – exclude, block, prevent access, deny entry, isolate बाहर करना
36. **Beggar-thy-neighbour measure** (noun) – an economic policy through which one country attempts to remedy its economic problems by means that tend to worsen the economic problems of other countries. पड़ोसी को नुकसान पहुँचाने वाली नीति
37. **Prevail** (verb) – triumph, succeed, win, dominate, overcome प्रबल होना
38. **The negotiating table** (phrase) – discussion forum, talks, dialogue process, negotiation setting, settlement table.
39. **Revert** (to) (verb) – go back to, return to, resume, fall back on, re-adopt लौटना
40. **Protectionism** (noun) – trade barriers, import restrictions, economic nationalism, tariff enforcement, anti-globalisation संरक्षणवाद
41. **On the contrary** (phrase) – rather, instead, in contrast, quite the opposite, conversely इसके विपरीत

42. **Rationalise** (verb) – streamline, simplify, reorganize, restructure, systematize
सुव्यवस्थित करना

43. **Cess** (noun) – tax, duty, surcharge, levy, contribution उपकर

44. **Beacon** (noun) – guiding light, signal, symbol, inspiration, shining example
मार्गदर्शक

45. **Macroeconomic** (adjective) – broad economic, national level financial, systemic economic, economy-wide, large-scale financial व्यापक आर्थिक

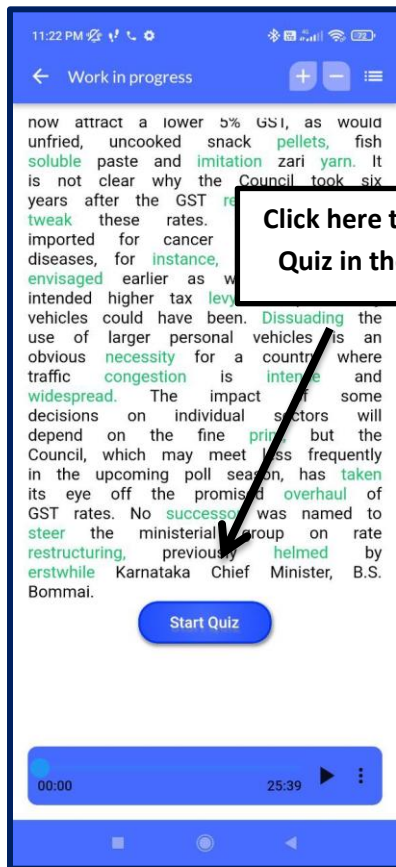
46. **Prudence** (noun) – wisdom, caution, good judgment, foresight, discretion समझदारी / विवेक

@mocks_wallah

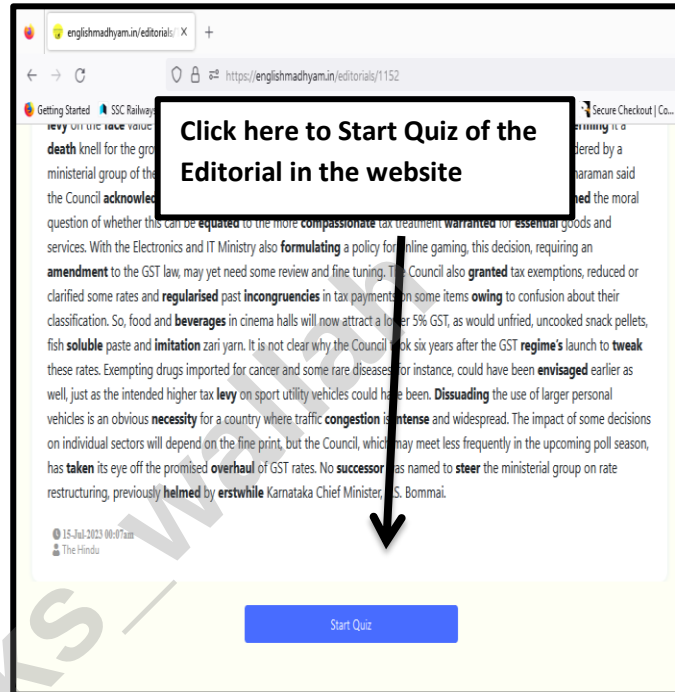
Summary of the Editorial

1. China Responds Swiftly – China imposed a 34% tariff on U.S. imports just two days after Trump announced a reciprocal tariff policy.
2. Trump's Tariff Escalation – The U.S. had already imposed 10% tariffs on Chinese goods in February, later doubled to 20%, totaling 54% with the latest move.
3. Targeted at China – Though framed as addressing trade imbalances, Trump's tariffs are directly aimed at penalizing China.
4. Extended to Other Countries – The U.S. has also imposed heavy tariffs on countries like Vietnam, Laos, Cambodia, Indonesia, Bangladesh, and Sri Lanka.
5. Targeting China's Supply Chain – These countries host Chinese firms that relocated to bypass earlier U.S. tariffs; Trump now hits these indirect channels too.
6. Global Impact – These actions escalate a global trade war between the world's largest economies — the U.S. and China.
7. China's Export Dependency – China exported \$438.9 billion worth of goods to the U.S. in 2024, a significant share of its global exports.
8. Risks of Further Retaliation – China might respond by devaluing its currency or dumping excess goods in other markets, worsening global tensions.
9. Risk of Protectionism Spread – Other nations, including Southeast Asian economies and even the U.S., may adopt beggar-thy-neighbour policies.
10. Need for Diplomacy – The editorial urges Trump and Xi Jinping to engage in negotiation rather than confrontation.
11. India's Position – India should stay out of the trade war and avoid protectionism.
12. Tariff Rationalisation Needed – India should simplify and rationalise import tariffs, removing complex duties and cesses.
13. Opportunity for India – By offering competitive sourcing and stable policies, India can attract global manufacturing.
14. Economic Strategy – India must focus on reform, stability, and macroeconomic prudence rather than reactionary trade policies.
15. Global Leadership Role – In this turbulent climate, India can emerge as a beacon of pragmatic economic policy and responsible global engagement.

Practice Exercise: Banking Pattern Based



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